

Procure Space ETF

SPCX NASDAQ

Hold	\$162.19 ▼ 3.23%	12M Price Target \$185.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.14T
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SPCX: Space ETF Pulls Back as Rotation Hits Growth

WHAT HAPPENED

- SPCX dropped 3.2% today and is now down about 5.7% from Monday's high of \$171.92 — classic "give-back week" after a strong early-October run. Nothing stock-specific broke; this is a sector-wide risk-off move while money rotates INTO energy (+3%) and staples (+2%), which are defensive/inflation plays. That rotation pattern usually means traders are nervous about something macro (rates, geopolitics, or earnings season) and dumping high-beta names like space first.
- The options tape is leaning bearish — put/call ratio of 1.11 and three big unusual put blocks at \$160, \$162.50, and \$165 strikes expiring this month. Translation: somebody with real money is paying for downside protection right at current levels, which often signals they expect more weakness before month-end.

WHY IT MATTERS

Here's what I think is really going on: SPCX had a monster run to \$225 earlier this year, and we're now sitting at only 47% of the 52-week range — so this is a mid-cycle cooldown, not a crash. The bearish options flow combined with sector rotation into defensives tells me institutions are de-risking ahead of something — likely Q3 earnings season and the ongoing fight over the FY2027 defense appropriations bill. If that defense bill gets delayed by a continuing resolution (which is where Congress is headed), space contractors like Rocket Lab, Planet, and Iridium — SPCX's core holdings — see contract award timing slip, which hits sentiment even if the long-term pipeline is intact. The upside: a resolution or a big NASA Artemis milestone could snap this right back to \$180+ quickly.

POLICY & POLITICAL WATCH

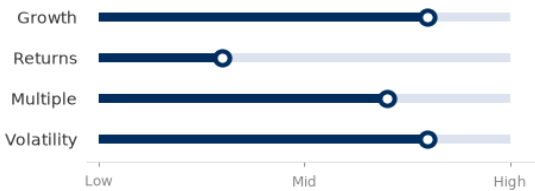
The big one to watch: the FY2027 National Defense Authorization Act (NDAA), which includes a proposed ~\$30B for Space Force — a record. If it clears Congress clean, it's a direct tailwind for SPCX's defense-exposed holdings. Also keep an eye on the FCC's ongoing spectrum allocation fights (satellite broadband vs. terrestrial 5G) — a favorable ruling for low-earth-orbit operators would boost names like Iridium and Globalstar inside the ETF. Finally, export control rules on satellite tech to allied nations are being loosened under current trade policy, which quietly expands the addressable market for US space companies.

IS IT EXPENSIVE?

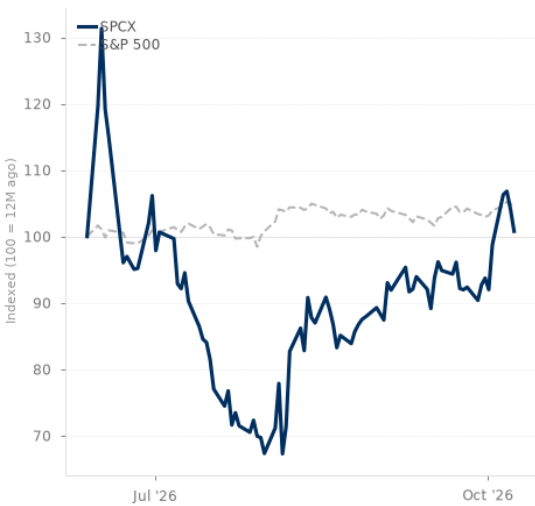
Key Data

Price (USD)	\$162.19
12M Price Target	\$185.00
Upside / (Downside)	+14.1%
Market Cap	\$2.14T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$180.00	\$168.00	\$150.00
6 Months	\$210.00	\$185.00	\$140.00
1 Year	\$240.00	\$195.00	\$130.00
2 Years	\$290.00	\$225.00	\$120.00
5 Years	\$400.00	\$280.00	\$100.00
10 Years	\$600.00	\$380.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3% today) and Staples (+2%) — classic defensive rotation. Energy is also catching a bid from Middle East tension and OPEC supply discipline. Financials (+0.9%) benefiting from higher-for-longer rate expectations.

COOLING OFF: Growth and high-beta — anything speculative is getting trimmed. Space, biotech, and small-cap tech are all seeing outflows as money chases "safer" cyclical.

ROTATION WATCH: Money is moving OUT of long-duration growth stories and INTO near-term cash generators. That's a headwind for SPCX short-term because space is a long-duration bet — profits are years away for many names in the basket.

RELATED PLAY: If you believe in the space thesis but want less volatility, consider the defense primes (LMT, NOC, RTX) — they get space contracts too but pay dividends and have earnings today. ITA (defense ETF) is a lower-vol way to play the same budget tailwind.

WHO'S WINNING IN THIS SPACE?

- XLE (Energy ETF): Oil prices firming on supply tightness and geopolitical risk — classic flight to hard assets.
- XLP (Consumer Staples): Defensive bid as rate uncertainty makes investors want predictable cash flows.

SPCX CONTEXT: SPCX is lagging the broader market today, which is normal — high-beta sectors always get hit first in defensive rotations. The fact that it's holding above \$160 despite the put pressure suggests buyers are still around; a decisive break below \$158 would signal the pullback has more room to run.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space story but today's tape says "be patient, not aggressive."

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding. The volatility (down 28% from highs already) means you want room to add if it keeps falling, not full position at the first dip.

ENTRY POINTS: I'd scale in — a starter around \$160, add at \$150, and go full-size if we see \$140 on broad market panic. Don't chase green days.

TIME HORIZON: 12-24 months, with the main catalyst being the FY2027 defense budget resolution (Q1 2027) and continued commercial launch cadence.

WHEN TO BAIL: Breakdown below \$140 on heavy volume, a major policy pivot against space spending, or a signature holding (Rocket Lab, Iridium) having a disaster quarter.

HEDGING: Simplest hedge is just keeping the position small. If you want more protection, buy a put spread 10% below current price for a few months out — costs a little but caps your downside if the whole sector rolls over.